

CCOI pitch deck

File access outside the working directory is permission-blocked this session, so I'll deliver the deck inline — the required structure is fully specified anyway. Here it is:

PITCH — CCOI — PROPOSED VERDICT

NO ENTRY — STAY FLAT until the refinancing announcement prints and the new 10-Q is actually read; reopen conditions below. PROPOSED — PENDING ADJUDICATION.

What we believe

Cogent Communications (CCOI, ~\$9.92 as of the Aug-7 close, down 78% from its 52-week high of ~\$45.69, market cap ~\$475M) is a badly wounded but **not imminently dying** company, and the stock is not buyable until one specific event resolves.

The situation in plain terms: Cogent is burning cash, but far less than a first look suggests. Reported operating cash flow (~\$3.2M in Q2) **excludes** the ~\$25M/quarter T-Mobile subsidy payments, which the company books under investing activities. All-in, the burn is roughly **\$12M per quarter**, and the T-Mobile payments continue until roughly **October–November 2027** — not November 2026, as our own original thesis wrongly claimed three times. The company holds \$369.7M of cash, but only **\$183.7M is unrestricted** (the other \$186.0M is restricted, likely escrowed data-center sale proceeds tied to a debt-repurchase covenant). Run that unrestricted pool against ~\$12M/quarter of burn and Cogent comfortably reaches the subsidy cliff with roughly ~\$124M still on hand.

So the equity's life-or-death question is not near-term cash exhaustion. It is the **\$750M of notes due June 2027** and the terms of the refinancing the company has said is coming. Until that refinancing announcement (an 8-K) prints, the largest unknown in the capital structure is unpriced by us, and all three benches in our internal court — the original thesis, the prosecution, and the defense — independently concluded: stay flat.

We also believe the bullish “growth engine” story is weaker than advertised. IPv4 address leasing, pitched as a “+25% compounding engine,” grew **0.5% quarter-over-quarter** in Q2 (\$18.1M); the year-over-year number is an artifact of a price increase that has now been lapped. Wavelength revenue is genuinely growing (+9.2% quarter-over-quarter) but is only 6.3% of revenue — too small to offset the legacy off-net business bleeding roughly \$17.7M/year.

What the market believes

This is a fully covered, fully public situation: **12 analysts, consensus Hold, average price target \$18.68**. The class action, the refinancing plan, and the T-Mobile payment schedule are all public. The stock fell 9.1% on the August 6 earnings print. The company's own bonds trade around 90 cents on the

dollar — the credit market is pricing real recovery risk. In short, the market sees a distressed legacy telecom with a growth story that hasn't shown up in the numbers, waiting on a refinancing — and it is waiting on exactly the same 8-K we are.

One nuance the market may be getting wrong in the equity's favor: the company spent ~\$107M in July buying back its own notes at 90–92 cents, which is value-accretive to the equity (a cumulative \$13.4M gain so far). Our original thesis mislabeled this as insider buying; it is corporate liability management, but it is still rational, equity-friendly behavior — not the behavior of a management team that believes the equity is worthless.

Why we might have edge

Honestly: less than we thought at the start, but not zero.

1. **The cash picture is genuinely confusing, and confusion is where mispricing lives.**

Our own prosecution bench — working from the primary earnings release — got the burn rate wrong by 73% (it claimed –\$78M/quarter by double-counting the T-Mobile cash out of operating cash flow; the 10-Q states plainly that those payments sit in investing activities). Our defense bench then found the restricted/unrestricted cash split (\$183.7M vs \$186.0M), which neither the original thesis nor the prosecution had caught. If two motivated internal benches with the primary documents in hand made material cash errors on a name covered by 12 analysts, it is plausible parts of the market are making the same errors — in both directions.

2. **The decisive analysis is still undone by anyone, including us:** a clean reconstruction of fungible liquidity (which cash pool actually funded the July buybacks), the refinancing terms when they print, and an appraisal of the 14 data centers plus the IPv4 address block against the June 2027 maturity wall. That work is tractable and mostly not in any analyst note we can see.

Why it might be priced in

The case against edge is strong, and the prosecution scored it 8/10 conviction:

- Twelve analysts cover the name. The refinancing plan, the covenant, and the payment schedule are all disclosed. The catalyst we'd be "waiting cleverly" for — the refi 8-K — is exactly what twelve other desks are waiting for. There is no discovery edge; at best there is an analysis edge on public documents.
- The stock is cheap because the business is genuinely deteriorating: the growth limbs are small or stalled, the legacy business is shrinking, and the terminal question (refinance at what rate, against what collateral) is real. "Down 78%" is distress pricing, not obvious mispricing.
- Our court's one candidate for a bullish variant view — "the market wrongly thinks the subsidy dies in 2026" — turned out to be **our own error**, not the market's. Once corrected, the urgency premise of the original pitch evaporated.

What we checked ourselves

Claim	How checked	Found	Confirmed?
T-Mobile subsidy expires ~Nov 1, 2026 (original thesis, stated 3×)	Primary acquisition terms + Q2 press release: \$350M paid “in equal monthly installments over the subsequent 42 months” after year 1; $12+42 = 54$ months from May 2023 close	Cliff is ~ Oct–Nov 2027 . Our own thesis bench erred by a full year — its own “54 months” arithmetic contradicted its stated date	✗ Refuted (bench error, caught by prosecution)
Ex-subsidy burn is – \$78M/quarter; cash ≈ 3¼ quarters (prosecution)	10-Q primary text: T-Mobile payments “are reflected as cash flows from investing activities” (SEC 10-Q)	Operating cash flow already excludes the subsidy. Our prosecution bench double-counted, overstating burn by 73% . All-in burn ≈ –\$12M/qtr	✗ Refuted (bench error, caught by defense)
IPv4 leasing is a “+25% compounding engine”	Q2 press release revenue detail (Q2-26 PR)	\$18.089M, + 0.5% QoQ ; addresses billed +0.1% QoQ. YoY figure is a lapped price step	✗ Refuted
“Insiders are buying the debt” (revealed preference for debt over equity)	Q2 press release; Form 4s in the filing pack	The company bought \$20.4M par in Q2 + ~\$118.4M in July at ~90; Form 4s are routine grant-cycle. Equity-accretive, but not insider personal buying	✗ Refuted as framed
\$369.7M of cash supports the runway	Q2 PR balance sheet	Only \$183.7M unrestricted ; \$186.0M restricted (likely covenant escrow). Which pool funded July’s buybacks is unknown — the 10-Q itself is still unread	⚠ Partially — split confirmed, usage unverified
Crowded / no discovery edge	Coverage read	12 analysts, Hold, avg PT \$18.68; refi plan public; refi 8-K not yet filed as of Aug 8	✅ Confirmed
Evidence-pack tape (\$10.91)	Superseded by both benches vs Aug-7 close	\$9.92 , –9.07% on the print, 52-wk \$9.00–45.69; pack tape predated the Aug-6 print. Pack XBRL slice (2013–2017 SBC) unusable — PR primary used instead	⚠ Pack corrected

PROPOSED ENTRY BANDS

The court’s verdict is no-entry — all three benches concur on staying flat pre-refinancing. Per doctrine, we state the **reopen bands** instead:

Reopen the name when BOTH of these print: 1. The refinancing 8-K (not yet filed as of 2026-08-08). The prosecution’s own bar: secured terms ≤ **8.5%** reads as survivable; materially above that, or heavy collateralization of the data centers/IPv4 block, guts the equity residual. **2. A genuine read of the new 10-Q (accession 0001104659-26-091790)** — specifically cash interest expense, the IRU/finance-lease balance, the T-Mobile receivable schedule, and the restricted-cash purpose (which pool funded the ~\$107M July note buybacks). No leverage math is load-bearing until this is done; both benches worked from the press release because SEC.gov blocked direct fetches all session.

Secondary reopen triggers (either one independently re-admits the name to court): - IPv4 revenue **sequential** re-acceleration in a quarterly release (the growth thesis is dead until the QoQ number, not the YoY number, moves), or - A data-center sale $\geq$ **\$150M** at or above Q2's implied per-megawatt value.

Sizing: zero now. If reopened, the name re-enters court for fresh bands — no pre-committed price levels, because the benches' math says the fair equity value is nearly all refi-terms-dependent (defense court-worthiness 6/10, prosecution 4/10). For reference only: the tape context at verdict was \$9.92 against a \$9.00 52-week low.

Catalyst dates: refi 8-K — imminent but unscheduled (searched through Aug 8); next earnings ~**2026-11-05** (yfinance-derived, UNCONFIRMED by company PR); notes maturity **June 2027**; T-Mobile subsidy cliff ~**Oct–Nov 2027**.

ARMED SENSORS

- NONE ARMED — the deck must flag this as a gap

This is a gap. The court's verdict is “wait for a specific 8-K,” and nothing is watching for it. Sensors the court record implies are MISSING and should be armed:

- **Refi 8-K watch** on CIK 1158324 (item 1.01/2.03/7.01/8.01) — the reopen trigger; currently we'd learn about it from the news like everyone else.
- **10-Q retrieval + parse** for accession 0001104659-26-091790 (restricted-cash purpose, cash interest, IRU balance, T-Mobile receivable) — blocked by SEC 403s all session; needs the hardened-fetch path.
- **Quarterly IPv4 sequential-revenue tracker** off the earnings PR (fire on QoQ re-acceleration, not YoY).
- **Asset-sale 8-K watch** (data-center sale $\geq$ \$150M trigger).
- **Live IBKR quote** for CCOI — IBKR was permission-blocked for both benches; the deck is written off a superseded pack tape plus a third-party close.
- **Next-print date confirmation** — the ~2026-11-05 date is derived, not company-confirmed.

What remains unverified

- **The 10-Q itself is unread.** Every SEC Archives fetch 403'd this session; the decisive investing-activities language reached us via full-text search, not a document read. Cash interest, the IRU/finance-lease balance, and the T-Mobile receivable schedule are all still derived, not verified.
- **Which cash pool funded July's ~\$107M note buybacks** (unrestricted vs restricted/escrow) — this swings the true runway materially in either direction.
- **Live IBKR price** — never obtained; both benches worked from stockanalysis.com's Aug-7 close.
- **The 2026-11-05 earnings date** — yfinance-derived, no company PR confirms it.

- **Refi terms** — the entire load-bearing unknown; nothing exists to verify yet.
 - **Data-center and IPv4 asset values** vs. the June-2027 wall — the appraisal the defense bench called the “decisive reconstruction” has not been performed by any bench.
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Two housekeeping notes for adjudication: (1) I could not write this deck to `desk/reports/` or render the PDF — file access outside `court_tmp` was permission-blocked this session, so the conveyor’s deck-on-completion file/PDF/email steps did not run; the deck above is the full artifact. (2) The pack’s ARMED SENSORS state of NONE for a name whose verdict is “wait for a specific filing” is the single most actionable gap in this record — the refi 8-K watch should be armed before anything else happens on CCOI.